

STRONG MARKETING ORGANIZATION

A strong marketer must be constantly alert to the changing desires of its customers so that the company is supplying what is desired today, not what used to be desired. At the turn of the century, for example, there was something wrong with the marketing efforts of a leading manufacturer of horse-drawn buggies if it persisted in trying to compete by making finer and finer buggies rather than turning to automobiles or going out of business altogether. To bring our example up to date, perhaps well before the Arab oil embargo made every home in America aware that large automobiles were big gas guzzlers, there was something wrong with the segment of the automobile industry that failed to recognize the ever-increasing popularity of small imported compacts as a sign that public demand was swinging toward a product that cost less, was cheaper to operate, and was easier to park than the larger, flashier models that for so many years had been favorites.

But recognizing changes in public taste and then reacting promptly to these changes is not enough. As has been said before, in the business world customers simply do not beat a path to the door of the man with the better mousetrap. In the competitive world of commerce it is vital to make the potential customer aware of the advantages of a product or service. This awareness can be created only by understanding what the potential buyer really wants (sometimes when the customer himself doesn't clearly recognize why these advantages appeal to him) and explaining it to him not in the seller's terms but in *his* terms.

Whether this is best done by advertising, by salesmen making calls, by specialized independent marketing organizations, or by any combination of these depends on the nature of the business. But what is required in every instance is close control and constant managerial measurement of the cost effectiveness of whatever means are used. Lack of outstanding management in these areas can result (a) in losing a significant volume of business that would otherwise be available; (b) in having much higher costs and therefore obtaining smaller profit on what business is obtained; and (c) because of companies' having variations in the profitability of various elements of their product line, in failing to attain the maximum possible profit mix within the